CASCADIA ANALYTICS

Outdoor Holding Company

Equity Research Note | POWW | 21 OCTOBER 2026

Pure-Play Marketplace Now

Outdoor Holding Co. screens as a Buy with a $3.70 blended target, 63% above the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$2.27	$3.70	+63%	BUY

Investment Thesis

Pure-Play Marketplace Now. Note the old ammo profile is gone: AMMO Inc. sold its ammunition division to Olin-Winchester for $75M in Aug 2025 and rebranded as Outdoor Holding Company. What remains is GunBroker.com, the largest online firearms marketplace [8-K]. Real Turnaround Numbers. Q1 FY27: revenue +21.7% to $14.48M, adjusted EBITDA +152% to a record $7.9M, net income +$3.6M, operating cash flow +$4.4M, gross margin ~85% [8-K]. Management cut $6.7M of quarterly opex in the transformation. Market Prices

- Pure-Play Marketplace Now
- Real Turnaround Numbers
- Market Prices Pessimism

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The latest print

Real Turnaround Numbers. Q1 FY27: revenue +21.7% to $14.48M, adjusted EBITDA +152% to a record $7.9M, net income +$3.6M, operating cash flow +$4.4M, gross margin ~85%. Management cut $6.7M of quarterly opex in the transformation.

Market Prices Pessimism. At $2.27, the reverse DCF implies -2.4% CAGR, decline priced in. Our DCF base is $3.51 (+55% upside) with the bear case $2.32 still above the price. Small-cap skepticism on liquidity is warranted, but the gap is real.

$14.48M	$7.9M	$3.57M	$223.7M	$4.4M	4
REVENUE (Q1 FY27)	ADJUSTED EBITDA (Q1 FY27)	NET INCOME (Q1 FY27)	GMV (Q1 FY27)	OPERATING CASH FLOW (Q1 FY27)	COVERING ANALYSTS

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q1 FY27)	$14.48M	+21.7%	Up
Adjusted EBITDA (Q1 FY27)	$7.9M	+152%	Up
Net Income (Q1 FY27)	$3.57M	vs -$6.46M loss	Up
GMV (Q1 FY27)	$223.7M	+18.1%	Up
Operating Cash Flow (Q1 FY27)	$4.4M	vs -$6.7M deficit	Up
Covering Analysts	4	avg target $2.63	Flat

The moat

GunBroker.com dominance: largest online firearms marketplace, firearm units sold +11.6% vs NICS +5.3%

The growth engine

New FFL transfer fee revenue stream launched FY2027, plus take-rate expansion on seller services

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Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	2026-30 CAGR	2030 REVENUE	2030 FCF MARGIN	TARGET	UPSIDE
Bear	25%	5.0%	$68.6M	20.0%	**$2.32**	+2%
Base	50%	12.0%	$94.7M	25.0%	**$3.51**	+55%
Bull	25%	20.0%	$134M	30.0%	**$5.45**	+140%

Bear: downside case at $2.32 (+2%).

Base: central case at $3.51 (+55%).

Bull: upside case at $5.45 (+140%).

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The probability-blended target implies 63% upside

A 25% Bear / 50% Base / 25% Bull weighting implies +63% from the $2.27 reference price.

$3.70
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

TTM revenue base	**$53.7M**
Valuation horizon	**2026-2030**
Live WACC	**8.61%**
Terminal growth	**3.0%**
Net cash	**$60.0M**
2030 FCF (Base)	**$23.7M**
10-year Treasury yield	**5.1%**
Beta	**0.95**
Equity risk premium	**3.7%**

BUY | $3.70 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is -0.8%. below Bear case (5%) , pessimistic

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-10%	$0.1B	$1.69	+10%	$0.3B	$3.38	+30%	$0.7B	$6.76
-9%	$0.1B	$1.75	+11%	$0.3B	$3.50	+31%	$0.8B	$6.99
-8%	$0.1B	$1.81	+12%	$0.4B	$3.63	+32%	$0.8B	$7.23
-7%	$0.2B	$1.87	+13%	$0.4B	$3.76	+33%	$0.8B	$7.48
-6%	$0.2B	$1.93	+14%	$0.4B	$3.90	+34%	$0.8B	$7.73
-5%	$0.2B	$2.00	+15%	$0.4B	$4.03	+35%	$0.9B	$7.99
-4%	$0.2B	$2.07	+16%	$0.4B	$4.18	+36%	$0.9B	$8.25
-3%	$0.2B	$2.14	+17%	$0.4B	$4.33	+37%	$0.9B	$8.53
-2%	$0.2B	$2.22	+18%	$0.5B	$4.48	+38%	$1.0B	$8.81
-1%	**$0.2B**	**$2.30**	+19%	$0.5B	$4.64	+39%	$1.0B	$9.10
+0%	$0.2B	$2.38	+20%	$0.5B	$4.80	+40%	$1.0B	$9.40
+1%	$0.2B	$2.46	+21%	$0.5B	$4.97	+41%	$1.1B	$9.71
+2%	$0.2B	$2.55	+22%	$0.5B	$5.15	+42%	$1.1B	$10.02
+3%	$0.2B	$2.64	+23%	$0.6B	$5.33	+43%	$1.1B	$10.35
+4%	$0.3B	$2.74	+24%	$0.6B	$5.52	+44%	$1.2B	$10.68
+5%	$0.3B	$2.84	+25%	$0.6B	$5.71	+45%	$1.2B	$11.03
+6%	$0.3B	$2.94	+26%	$0.6B	$5.91	+46%	$1.3B	$11.38
+7%	$0.3B	$3.04	+27%	$0.6B	$6.11	+47%	$1.3B	$11.74
+8%	$0.3B	$3.15	+28%	$0.7B	$6.32	+48%	$1.3B	$12.11
+9%	$0.3B	$3.27	+29%	$0.7B	$6.54			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$209M	—	3.0%	$60.0M	$269M	**$2.32**
Base	$347M	—	3.0%	$60.0M	$407M	**$3.51**
Bull	$572M	—	3.0%	$60.0M	$632M	**$5.45**

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Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030
Bear	$2.32	$2.52	$2.66	$2.80	$2.94	$3.07
Base	$3.51	$3.81	$4.06	$4.29	$4.52	$4.73
Bull	$5.45	$5.92	$6.34	$6.75	$7.13	$7.47

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $3.70 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

GunBroker.com dominance: largest online firearms marketplace, firearm units sold +11.6% vs NICS +5.3%

New FFL transfer fee revenue stream launched FY2027, plus take-rate expansion on seller services

Asset-light marketplace at 85%+ gross margins with ~$66M cash and minimal debt

Revenue and margin trend

METRIC	Q1 FY26	Q2 FY26	Q3 FY26	Q4 FY26	Q1 FY27
Revenue	$11.9M	$12.0M	$13.4M	$13.9M	$14.5M
Net Income	-$6.5M	+$1.4M	+$2.2M	-$0.7M	+3.6M
Adjusted EBITDA	$3.1M	n/a	n/a	n/a	$7.9M

Valuation cross-check

P/E (trailing) 72.7x

P/S 5.0x, P/B 1.1x

DCF Base $3.51, +55% upside

Trailing P/E is meaningless off a depressed base; EV is ~3.5x sales ex-cash. The DCF says the price undervalues even a modest take-rate expansion.

4 analysts, avg target $2.63, Moderate Buy

AOUT is the closest peer (manufacturer, different model)

No pure-play online firearms marketplace comp exists; analyst coverage is thin but constructive, with targets ~16% above the price.

52wk range $1.49-$2.67

+42% over 1 year; -44% since 2017 listing

The name has recovered from the transformation lows but remains well below its listing price, reflecting the long dilution of the old ammo business.

What to monitor

16-Nov-2026. Q2 FY27 Earnings (Positive): Q1 beat with +22% revenue and record adjusted EBITDA $7.9M; watch for continued GMV and take-rate expansion.

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FY2027. FFL Transfer Revenue (Positive): New fee stream launched at start of FY27, already contributing to take rate in its first quarter.

FY2027. Buyback Program (Two-Sided): $15M authorization (up to 7.7% of shares); signals management views shares as cheap but consumes cash.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2023	$63M	$54M	$2M	$15M
2024	$54M	$46M	$-6M	$7M
2025	$49M	$43M	$-60M	$-45M
2026	$51M	$45M	$-6M	$11M

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2023	$413M	$39M	$374M	$39M
2024	$403M	$45M	$358M	$56M
2025	$297M	$75M	$222M	$30M
2026	$267M	$33M	$235M	$68M

Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2023	$30M	$-2M	$-6M	$29M
2024	$18M	$-3M	$-8M	$15M
2025	$-5M	$-3M	$-10M	$-8M
2026	$963,847.00	$-3M	$-4M	$-2M

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Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $3.70 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 88 of 100: founder-mode alignment, high conviction

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 16.32% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $0 of sales, a net flow of $0. One-year total shareholder return is +48.4% against CEO total pay of $177.2K (Mr. Steven F. Urvan), which the model scores as EXEMPLARY ALIGNMENT.

88

AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	40 / 40	16.32% of shares held by insiders
Form 4 Flow (Conviction Flow)	18 / 30	Buys $0 (0) vs sales $0 (0), net $0, trailing six months
Pay-for-Performance	30 / 30	EXEMPLARY ALIGNMENT: Founder Mode / Low Base Draw. 1Y TSR +48.4%; Mr. Steven F. Urvan, President, CEO & Chairman, total pay $177.2K
Agency Risk Score	**88 / 100**	Regime: FOUNDER-MODE // HIGH CONVICTION

SEC proxy audit, DEF 14A filed 2026-09-03

Alignment grade F. NO PAY CUT. Steven Urvan, fiscal 2026 vs fiscal 2025; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
$0	$0	$0	$0

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Compensation details are not disclosed in the provided excerpt, so no assessment of pay shift can be made. The absence of data prevents analysis of bonuses or committee accountability.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1015383/000101538326000012/poww-20260903.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 21 October 2026 for this note.

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The bear case

Cyclical Demand

GunBroker revenue moves with firearm demand and NICS checks. The Virginia legislation pull-forward was explicitly described by management as a one-off that will not repeat in Q2 FY27.

Thin Liquidity

Average daily traded value is only ~$1.2M, and institutional ownership is concentrated (Balentine 14.9%, Kanen 9.9%). Building or exiting a meaningful position moves the price.

Short Transformation History

The company sold its ammo division in Aug 2025, settled Delaware litigation, and replaced leadership. The pure-play marketplace story is barely a year old, with warrants and promissory notes still outstanding from the settlement.

The strengths

Operating Quality

GunBroker.com is the dominant online firearms marketplace with real network effects, 85%+ gross margins, asset-light economics, ~$66M cash and near-zero debt (D/E 0.04). Scale is the knock: ~$53M annual revenue is tiny.

Recent Trend

Genuinely improving: revenue +21.7% YoY, GMV +18.1%, adjusted EBITDA +152% to a record $7.9M, net income flipped from a $6.5M loss to +$3.6M, operating cash flow turned positive $4.4M. Broad-based, per management.

Forward Growth

FFL transfer fees and take-rate expansion are new, real revenue streams; payments processing is next. But growth rides on NICS demand cycles, the Virginia pull-forward was explicitly one-off, and only 4 analysts cover the name.

Valuation

Trailing P/E 72.7x looks scary but earnings are off a depressed base; P/S 5.0x on $51M sales, EV roughly 3.5x ex-cash. Our DCF base $3.51 implies +55% upside and even the bear $2.32 sits above the $2.27 price. The market is pricing pessimis

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Cascadia scorecard

Composite score 64: Fair. Confidence Medium, as of 17-Oct-2026.

PILLAR	RATIONALE	SCORE
Operating Quality	GunBroker.com is the dominant online firearms marketplace with real network effects, 85%+ gross margins, asset-light economics, ~$66M cash and near-zero debt (D/E 0.04). Scale is the knock: ~$53M annual revenue is tiny.	68
Recent Trend	Genuinely improving: revenue +21.7% YoY, GMV +18.1%, adjusted EBITDA +152% to a record $7.9M, net income flipped from a $6.5M loss to +$3.6M, operating cash flow turned positive $4.4M. Broad-based, per management.	78
Forward Growth	FFL transfer fees and take-rate expansion are new, real revenue streams; payments processing is next. But growth rides on NICS demand cycles, the Virginia pull-forward was explicitly one-off, and only 4 analysts cover the name.	60
Valuation	Trailing P/E 72.7x looks scary but earnings are off a depressed base; P/S 5.0x on $51M sales, EV roughly 3.5x ex-cash. Our DCF base $3.51 implies +55% upside and even the bear $2.32 sits above the $2.27 price. The market is pricing pessimism.	57
Catalysts & Risk	Q2 earnings Nov 16 and the FFL/payment rollout are positive catalysts; the $15M buyback is a real signal. But liquidity is thin (~$1.2M daily), gun demand is cyclical, holders are concentrated (Balentine 14.9%), and the litigation-to-transformation history is short.	55

Investment view

> Q2 FY27 earnings on Nov 16, 2026 are the next test: another quarter of 15-20% GMV growth with rising take rate would pull the price toward the $3.51 DCF base. A NICS slowdown or a stalled FFL/payment rollout would compress the growth story back toward the bear case.
>
> **Investment view: Buy. The $3.70 blended target implies +63%, balancing the $2.32 / $3.51 / $5.45 Bear / Base / Bull outcomes.**

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